

Global Data Watch

- Despite weak US jobs gains, we raise 2H26 US and global GDP growth
- Concerns about soft US labor income and China demand offset by ...
- ... indicators showing building and broadening momentum
- Next week: US RS down, core CPI moderate; China TSF

Jobs go low, GDP forecasts go high

Having displayed impressive resilience through a set of negative shocks, the global expansion is now poised to generate above-potential growth in the coming quarters. As the tech boom cools to a still strong pace of growth, the relatively weak links of the expansion (non-tech capex, Western Europe and Chinese domestic demand) should lift, providing a broader base of growth. A more balanced expansion should also boost hiring and further tighten labor markets. Firm pricing power and tight labor markets are a recipe for inflation to remain elevated. Greater balance thus comes at a cost of a gradual but broad-based policy tightening.

In tracking this outlook, the latest news delivers a varied dose of comfort, concern, and confusion. There is, however, more cause for comfort than concern. We made a material upgrade to our 2H26 global GDP growth forecast this week, despite a soft US jobs report, as survey and activity data sent a convincing message of building and broadening growth momentum.

- **Stand by your PMI.** Our global composite output PMI rose for a fourth straight month in July to a level consistent with a robust 2.9%ar gain in global GDP (Figure 1). Gains were broad outside China and a jump in the new orders and employment PMIs, led by a relatively depressed service sector, reinforces the constructive signal. In line with this news, our 2H26 global growth forecast moved up to a 2.6%ar this week led by upgrades in the US, Euro area, and non-China Asia.
- **Euro area: The little engine that could.** Despite a June retail sales drop, real consumer spending in the Euro area is tracking a modest gain last quarter even with the large energy price shock. Underlying GDP growth looks to be running at about a 1%ar, while the July PMI rise points to building momentum and we raised our 2H26 GDP forecast this week to 1.4%ar. Forecast revisions were concentrated in Spain (where the immigration surge is expected to push growth towards 3%ar) and in Germany (where a significant fiscal boost should push growth above a 1.5%ar).

Figure 1: Global composite PMI and GDP

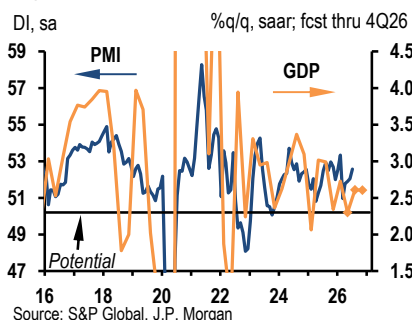
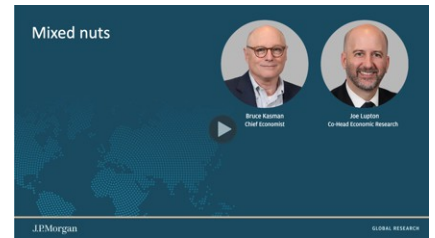
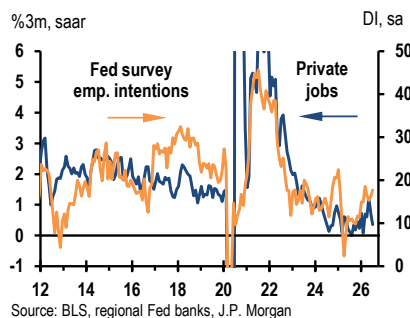


Figure 2: US employment indicators



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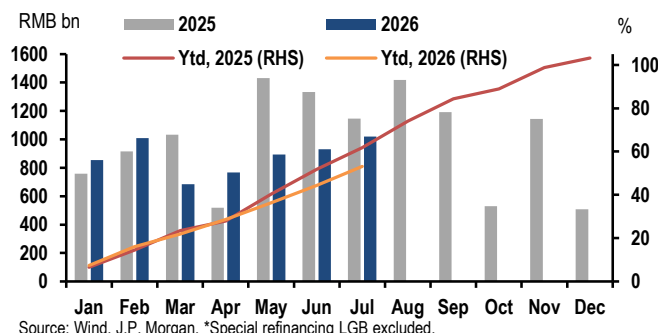
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- **Asia (ex China) demand gets its groove back.** Monthly activity readings point to a cooling in tech activity across Asia, but we are continuing to raise forecasts based on signs of positive spillovers to other sources of demand. In Japan, a strong acceleration in domestic demand already evident in 1H26 is set to be supported by this week's confirmation that a consumption tax cut is coming. Elsewhere in the region (outside China), we see signs of life in consumption and business investment benefiting from the tech boom. With the July PMIs also sending a signal that the overall pace of industrial activity remains strong, we are now anticipating EMAX to sustain a strong 4%ar growth pace in the coming quarters.

Alongside this constructive news, there are two main concerns — one new and one ongoing:

- **US job rebound stalls.** The combination of a July decline and large downward revisions lowered the three-month average monthly US job gain to 20k (Figure 2). Even after smoothing through noisy swings in government hiring and retail and hospitality, the underlying trajectory is about half our forecast for a 100k gain. The recent downshift in hiring is combining with wage moderation to push labor income gains towards their lowest pace of this expansion, elevating concerns about a US consumer that sharply lowered its savings rate this year. This concern is likely to be reinforced by next week's July retail sales report, which we expect will show control sales falling 0.3%mm.
- **China demand growth slips.** We forecast China's GDP to accelerate to a 4.6%ar in 2H26 as a sustained external impulse and fiscal impulse offsets still weak domestic demand. Although the July trade report showed continued strong export growth, weak PMI readings point to weaker-than-expected domestic momentum. The July Politburo placed fiscal execution at the center of policy priorities, and we estimate that the implementation of untapped government bond issuance will boost growth. The latest news suggests this lift has not yet materialized (Figure 3). While we anticipate a sharp pickup through the end of this quarter, there is concern that local officials' risk aversion will weigh on fiscal execution and 2H26 growth. Next week's total social financing (TSF) data for July will be closely watched to see if fiscal supports are sparking domestic activity.

Figure 3: China government bond issuance progress*



The balance between comfort and concern still leans in the direction of upside growth revisions. Alongside upward revisions to the Euro area and Asia, we raised our current quarter forecast for the US to 2.5%ar this week. At the same time, the incoming news is sending confusing signals that challenge elements of our narrative.

- **Whither the inventory cycle.** Our forecast incorporates a rebound in non-tech business spending and hiring, but the lift has been uneven thus far. A limited recovery in US and global employment raises questions about behavior, particularly as it has been accompanied by [surprisingly cautious inventory building](#). A reasonable interpretation of this caution is that firms have been surprised by strong demand and that a stockbuilding boost is in the cards. This is our core view where we now expect stockbuilding to boost US 2H26 domestic demand growth by a full percentage point. But the details of the US and global manufacturing PMIs do not support this view. The stock-of-purchases index already stands at an above-average level and manufacturing future output expectations have stepped lower, at odds with the view that firms are gearing up to adjust production levels higher.
- **The labor cost gravity issue.** A mix of rising demand and weak labor supply is expected to tighten labor markets, limiting downward pressure on wage and service price inflation. While the US labor market reports confirm that weak supply is pushing the unemployment rate lower, labor cost pressures appear muted. Today's modest average hourly earnings gain reinforced the message from the 2Q26 productivity report, which points to unit labor costs (ULC) growth currently tracking below a 2%ar. ULC gains have thus dropped to a level consistent with the Fed's inflation objective (Figure 4). However, experience shows that a relatively low level of ULC growth does not tend to generate significant downward pressure when core inflation is more elevated. These points highlight the debate between the Fed's long-standing immaculate disinflation SEP — based on the notion of these gravitational forces alongside fading transitory shocks — and our

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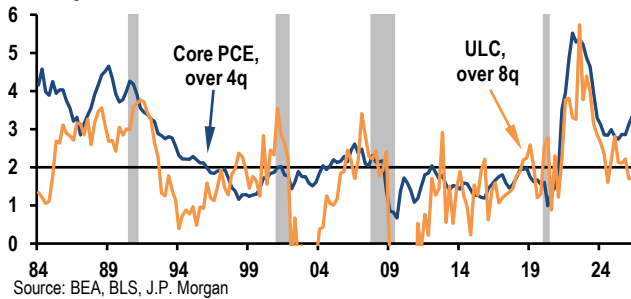
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sticky inflation forecast, which incorporates significant inertia in an environment of sustained solid pricing power.

Figure 4: US unit labor costs and core PCE deflator
% change, saar



We recognize the FOMC's recent hawkish tilt, but anticipate a gradual path to a December hike as moderating inflation readings support a September hold. The committee will grapple with this week's employment report surprises, we believe it will put more weight on the growth vulnerability of weaker labor income than on the unemployment rate drop. The meeting outcome still depends on inflation and next week's projected 0.21% July rise in core CPI should align with our view of a hold.

Japan: The challenges of wanting it all

Policymakers in Japan are attempting to support growth, curb yen weakness, and maintain a gradual path of monetary normalization, but those goals are becoming increasingly difficult to reconcile. The government's decision to cut the consumption tax on food (to 1% from 8%) will mechanically lower inflation (by ~1%pt to 2.5%) while adding further support to already-strong domestic demand. It will also add to growing concerns about fiscal finances. The pressures are building on the BoJ to raise rates. Absent an early Fed move, we continue to expect the next hike in October. But we now see policy moving three times in 2027 to bring rates to the perceived neutral level of 2%.

EM Asia inflation undershoots

Inflation undershot July expectations across several EM Asia economies this week, supporting the more patient central banks in the region. Thai headline CPI prices fell and core prices were flat, reinforcing our view that the Bank of Thailand will stay on a prolonged hold. Inflation in Taiwan moderated with core momentum slowing — consistent with our forecast for a 2H moderation towards 2% — underscoring our view of a prolonged hold, even though risks of some tightening still linger. In India, the RBI remained on hold and was more dovish than expected, reinforcing our view of a prolonged hold and bucking market pricing of multiple hikes over the next year.

We still expect Korea and the Philippines to hike this month, but this week's data makes both a closer call. Korean 2Q GDP surprised to the upside. And although this week's July headline CPI undershot expectations as fuel and farm prices fell, core remained firm. We maintain our call for the BoK to follow up on their July hike with a hike in August given the strength of growth and the stickiness of core. By contrast, a large growth and modest inflation undershoot in the Philippines this week makes our August hike a closer call, but we still expect the BSP to pull the trigger given the primacy of inflation in the mandate.

Australia's tightening is over

The outcome of this month's RBA meeting appeared to be finely balanced as recently as late July. But a material undershoot in 2Q inflation has shifted expectations decisively toward an extended hold. We still expect policymakers to retain a tightening bias in their guidance for some time, but the data reinforce our view that the hiking cycle has ended. As activity and housing market conditions soften, the next move in rates is increasingly likely to be lower rather than higher, though likely not until 2H27.

LatAm CBs: United in caution

This week's central bank decisions highlighted the growing divergence in LatAm monetary policy. Banxico left rates unchanged as softer inflation and weak activity are balanced against lingering concerns about durable convergence to target. In Brazil, the BCB delivered another 25bp cut and signaled continued flexibility around the pace of easing. While domestic factors are increasingly driving policy decisions, both central banks remain attentive to the external backdrop. A more restrictive Fed would tighten financial conditions, pressure currencies, and narrow the room for policy accommodation, reinforcing a cautious approach across the region.

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Completed 07 Aug 2026 07:44 PM EDT

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